

- Spend 70 percent for living expenses such as rent/mortgage, food, clothing, and gasoline.
- Spend no more than 20 percent for debt payments like car payment, credit cards, and student loans, but exclude first mortgage.
- Save 10 percent:
 - Save 5 percent for specific goals—vacation, car, school tuition, and computer. At the same time you should build up and then maintain an emergency fund with three to six months of living expenses in the account. This is not for impulse spending. Keep it for unexpected expenses like car repairs, lay-offs, and medical expenses.
 - Invest a minimum of 5 percent for the long term. These funds are earmarked for your retirement—IRA, 401(k), or 403(b).

Realize that when you exceed these percentages in any category, it means a reduction in the other areas. If your living expenses are high, you won't be able to save as much. Similarly, if your debt level is too high, you won't be able to contribute as much to your savings, investments, or both. If you want to put more money into your savings, all you have to do is decrease your living expenses, decrease your debt, or do both.

If you get into the habit of paying yourself first, this is the most effective way to save money. In fact, money never seen cannot be missed. If your company can automatically deposit a percentage of your paycheck into a retirement account, the money never actually comes into your possession for you to spend. Other tips to make saving easier include:

- Let the person in your household who is the best at saving control the finances.

